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GST CASE LAW COMPENDIUM



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EXCERPTS



Whether proceedings u/s 74 of the CGST Act, 2017 can be sustained against the purchaser when the supplier's registration is cancelled subsequently?



Whether ITC can be blocked under Rule 86A of the CGST Rules when the Electronic Credit Ledger reflects a nil balance at the time of invoking the rule?



Whether a taxpayer is entitled to obtain copies of data and documents seized during search under Section 67 of the CGST Act, 2017?

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Whether proceedings u/s 74 of the CGST Act, 2017 can be sustained against the purchaser when the supplier's registration is cancelled subsequently?

No, the Hon'ble Allahabad High Court in **M/s Singhal Iron Traders v. Additional Commissioner and Another [Writ Tax No. 1356 of 2022, decided on 26.09.2025 | 2025 (10) TMI 59 – ALLAHABAD HIGH COURT]** held that proceedings under Section 74 cannot be sustained against a bona fide purchaser when the supplier's registration was valid at the time of transaction and all statutory compliances had been duly fulfilled. The petitioner, a registered dealer engaged in trading of iron scrap, had purchased goods from M/s Shiv Iron Trading Co. during February–March 2019 against valid tax invoices and e-way bills, with payments made through banking channels. The supplier had filed GSTR-1 and GSTR-3B for the relevant period, evidencing payment of tax. Despite this, the department initiated proceedings under Section 74 alleging wrongful availment of ITC solely because the supplier's registration was cancelled a month later. The Court observed that such subsequent cancellation cannot invalidate the purchaser's claim when no fraud, collusion, or suppression was alleged. It further noted that the department acted merely on borrowed information without conducting any verification regarding the supplier's existence at the time of supply, and failed to examine the genuineness of the transactions independently. Emphasizing that once the purchaser has discharged tax liability through banking channels and holds valid documents, no adverse inference can be drawn, the Court quashed the orders passed under Section 74 and allowed the writ petition, terming the action unsustainable in law and contrary to natural justice.

Author's Comments:

Retrospective cancellation is, in effect, a statutory acknowledgment that all transactions prior to the effective date stand accepted as genuine. This invokes the equitable maxim *quod approbo non reprobo* – the Revenue cannot approve the supplier's registration (and thereby implicitly accept all outward supplies during the period) and simultaneously disapprove the inward supplies of the purchaser based solely on a subsequent cancellation.

If the investigation leading to retrospective cancellation is correct, it necessarily follows that all prior transactions were legitimate; therefore, alleging fictitious purchases for that very period becomes self-contradictory and legally untenable. Conversely, if the allegation of bogus inward supply is assumed to be correct, then the Revenue must first establish that the Noticee's books, GST returns, and entire audit trail are fictitious. No such foundational finding existed in the present matter.

The inalienable factual position – that the purchaser has duly recorded all inward supplies in its books and filed returns accordingly – cannot be disregarded in the absence of two essential ingredients:

1. A definitive finding that the Noticee's entire books, returns and audited statements are fabricated, and
2. Finality of adjudication against the supplier, establishing fraud beyond reasonable doubt.

Without these, the proceedings become an exercise in presumption rather than evidence, reducing adjudication under Section 74 to an empty formality driven by mere suspicion.



Whether recovery of interest on delayed payment of GST under Section 79 of the CGST Act, 2017 can be initiated without issuance of intimation in Form GST DRC-01D as prescribed under Rule 142B?

No, the Hon'ble Gujarat High Court in **Bombay Art v. Union of India & Ors. [R/Special Civil Application No. 16855 of 2024, decided on 10.10.2025 / 2025 (10) TMI 1248 – GUJARAT HIGH COURT]** held that recovery of interest on delayed payment of GST under Section 79 of the CGST Act, 2017 cannot be initiated unless the prescribed intimation or notice in Form GST DRC-01D under Rule 142B is first issued, giving the taxpayer an opportunity to respond. The petitioner challenged a notice dated 20.05.2024 issued by the department demanding interest for delayed payment of tax without following the prescribed procedure. The department relied upon a departmental advisory referring to Section 79 to justify recovery of the said amount. The petitioner contended that Rule 142B, inserted vide Notification No. 26/2022–Central Tax dated 26.12.2022, mandates issuance of Form GST DRC-01D prior to recovery of interest, and Rule 88B prescribes the manner of computation of such interest. It was argued that no such intimation was issued, nor any opportunity to contest the computation was granted. The Hon'ble Court agreed with the petitioner, holding that Rule 142B(2) clearly requires the proper officer to issue an intimation in Form GST DRC-01D specifying the amount of interest payable and providing the person an opportunity to make payment or contest the demand. It observed that Section 79 can be invoked only upon failure to pay the ascertained amount after such intimation, and not directly. Finding the department's action to be contrary to the statutory procedure, the Court quashed and set aside the impugned notice dated 20.05.2024, while granting liberty to the authorities to reinstitute recovery proceedings strictly in accordance with Rule 142B and after affording the petitioner an opportunity of hearing.

Author's Comments:

This decision reinforces a foundational principle repeatedly emphasised since *Nazir Ahmad v. King Emperor* 1936 AIR (PC) 253 – when the law prescribes a manner of doing something, it must be done in that manner or not at all. Rule 142B now provides the exclusive statutory pathway for recovery of interest on delayed payment of GST. Skipping Form DRC-01D is not a minor procedural lapse; it goes to the jurisdiction of the officer to initiate recovery under Section 79. Jurisdiction is not about the officer's willingness or administrative convenience – it is about strict compliance with the statutory pre-conditions that empower the exercise of such authority.

The Court's reasoning also echoes the Supreme Court's caution in *Sakal Papers Ltd. v. Union of India* 1961 (9) TMI 68 SUPREME COURT – zeal to protect revenue cannot justify non-compliance with the law itself. Revenue authorities must act within the four corners of the statute; passion for collection does not permit shortcuts or assumptions.

Section 75(12), read with Rule 88B and Rule 88C, creates a tightly structured mechanism for the ascertainment and recovery of interest. The law requires:

1. Computation of interest as per Rule 88B;
2. Intimation of the ascertained amount through Form DRC-01D under Rule 142B;
3. Opportunity to respond; and
4. Recovery under Section 79 only upon failure to pay the ascertained amount.

Bypassing DRC-01D collapses this statutory architecture. In the author's considered view, the decision sends a clear message: interest recovery cannot be initiated on mere belief, advisory notes, or internal instructions. It must begin – and can only begin – with due process under Rule 142B. Any deviation renders the action ultra vires, regardless of the correctness of the underlying interest computation.



Whether ITC can be denied merely because the supplier's registration was cancelled retrospectively, despite the purchaser possessing all requisite documents evidencing genuine transactions?

No, the Hon'ble Calcutta High Court in **Shyamalmay Paul v. Assistant Commissioner, SGST, Siliguri Charge & Ors. [WPA 2192 of 2025, decided on 04.11.2025 | 2025 (11) TMI 428 – CALCUTTA HIGH COURT]** held that ITC cannot be denied solely on the ground of retrospective cancellation of the supplier's registration when the purchaser has furnished all primary evidence establishing the genuineness of the underlying transactions. The petitioner challenged the appellate order rejecting ITC on the basis that the supplier's registration had been retrospectively cancelled. The petitioner produced tax invoices, e-way bills, transportation documents, bank payment proofs, and other materials satisfying the conditions of Section 16(2) of the CGST Act. The Court found that the appellate authority passed a non-speaking order, failing to consider any of the documentary evidence and ignoring binding precedent that retrospective cancellation of registration by itself cannot be a ground to deny ITC to a bona fide purchaser. Relying on its earlier decision on identical facts, the Court observed that once the purchasing dealer proves receipt of goods, payment of consideration through banking channels, and tax charged on invoice, ITC cannot be denied unless the department demonstrates connivance, fraud, or knowledge of wrongdoing. Finding a complete violation of the principles of natural justice and statutory requirements, the Court quashed the impugned order and remanded the matter with directions to reconsider the claim in light of the petitioner's documents and applicable legal standards.

Author's Comments:

This case once again illustrates a recurring problem in GST litigation—officers continue to issue SCNs under Section 73 while simultaneously alleging serious violations under Section 16(2)(b), i.e., non-receipt of goods, which is a fraud-based allegation squarely falling under Section 74. The two positions cannot coexist. If the allegation of non-receipt of goods is correct, then the SCN under Section 73 is fundamentally defective. If the SCN under Section 73 is treated as correct, then the allegation of fraud collapses. This is a classic instance of the revenue approbating and reprobating, which is impermissible in law.

An effective defence strategy should begin not with voluminous evidence, but with testing the internal consistency of the SCN itself. The correct approach should have been to challenge the jurisdictional basis of the SCN before engaging with the merits. Had this inconsistency been highlighted at the outset, the demand could potentially have been neutralised entirely, rather than being remanded for reconsideration—an outcome that provides only temporary relief.

This judgment nevertheless affirms an important doctrinal point: retrospective cancellation of the supplier's registration does not retrospectively invalidate genuine transactions, nor does it shift the burden onto the purchasing dealer without proof of collusion or knowledge. But the broader lesson remains strategic—long replies are not always strong replies. Identifying whether the SCN supports its own allegations is often the most decisive defence.



Whether failure to issue a pre-show-cause notice intimation under Rule 142(1A) of the CGST Rules, 2017 vitiates the assessment order under Section 73 or 74 of the CGST Act?

Yes, the Hon'ble Andhra Pradesh High Court in ***Baba Agriculture Export v. Union of India & Ors.* [W.P. No. 24140 of 2025, decided on 08.10.2025 | 2025 (10) TMI 1322 – ANDHRA PRADESH HIGH COURT]** held that non-issuance of a notice under Rule 142(1A) of the CGST Rules, 2017 before passing an adjudication order renders the proceedings invalid for violation of principles of natural justice. The petitioner challenged the Order-in-Original No. 70/2024-25-GST dated 25.02.2025, passed under Section 73 of the Act, on the ground that no pre-show-cause notice intimation in Form GST DRC-01A was issued as required by Rule 142(1A). The petitioner contended that the purpose of such intimation is to enable voluntary payment and avoid unnecessary litigation. The respondents argued that omission to issue such intimation was a procedural lapse that did not affect the merits of the adjudication. The Hon'ble Court rejected this contention, holding that Rule 142(1A) is not a mere formality but a substantive procedural safeguard ensuring that taxpayers are made aware of proposed demands and given a pre-adjudication opportunity to make payment or provide explanation. The Court held that failure to issue the DRC-01A intimation vitiates the entire proceedings. Accordingly, the impugned order dated 25.02.2025 was set aside, and the matter was remanded to the adjudicating authority for fresh consideration after issuance of proper notice and adherence to the prescribed procedure.

Author's Comments:

The department's reliance on the October 2020 amendment to Rule 142(1A)—changing "shall" to "may"—overlooks a crucial legal reality: a rule cannot dilute a substantive safeguard expressly embedded in the parent statute. Sections 73(5) and 74(5) continue to mandate a pre-notice intimation enabling voluntary payment and reduction of penalty. Under Section 74 in particular, where a 15% penalty option is statutorily available at the pre-SCN stage, denial of pre-notice consultation effectively deprives the taxpayer of a vested statutory right. A delegated rule cannot override such legislative intent.

Even after the amendment, DRC-01A remains the only prescribed statutory mechanism through which the department can (i) communicate the proposed tax liability, (ii) enable voluntary payment, and (iii) avoid unnecessary litigation. Therefore, treating Rule 142(1A) as purely discretionary is inconsistent with the structure of Sections 73 and 74.

The Andhra Pradesh High Court has repeatedly taken this view. In *Satyanarayana Medical Distributors* (Writ Petition No. 35710 of 2022, decided on 12.02. 2025), it categorically held that omission to issue DRC-01A is a violation of natural justice and vitiates the entire adjudication. The present judgment continues this judicial line, recognising that pre-notice consultation is not an empty formality but a procedural right intended to prevent premature escalation to litigation and ensure proportionality in tax administration.



Whether a distributor can justify non-reduction of prices after GST rate reduction by claiming increased quantity or promotional offers under Section 171 (anti-profiteering)?

No, the Hon'ble Delhi High Court in **Sharma Trading Company v. Union of India & Ors. [W.P.(C) 13194/2018, decided on 23.09.2025 | 2025 (10) TMI 57 – DELHI HIGH COURT]** upheld the findings of the National Anti-Profiteering Authority (NAPA) that the petitioner, a distributor of Hindustan Unilever Ltd. (HUL), had profited by not passing on the benefit of GST rate reduction on the product "Vaseline VTM 400 ml" from 28% to 18% vide Notification No. 41/2017-CT (Rate) dated 14.11.2017. It was found that the petitioner continued to charge the same MRP of ₹213 per unit both before and after the reduction in GST rate, despite an obligation under Section 171 of the CGST Act to pass on the benefit by way of commensurate price reduction. The investigation by the Director General of Anti-Profiteering revealed that the petitioner had increased the base price from ₹158.66 to ₹172.77 per unit, thereby nullifying the effect of the tax rate cut. The plea that the quantity of the product had been increased from 300 ml to 400 ml, or that free promotional schemes justified the unchanged price, was rejected. The Court, relying on its earlier decision in Reckitt Benckiser India Pvt. Ltd. v. Union of India [2024 (1) TMI 1248 – DELHI HIGH COURT], reiterated that the benefit of tax reduction must reach the consumer through an actual reduction in price, and cannot be substituted by increase in volume, free offers, or any other form of indirect adjustment. The Court observed that the legislative intent of Section 171 is to ensure that reduction in tax rates translates into direct consumer benefit and any attempt to retain the same MRP, even by modifying the quantity, defeats the purpose of the anti-profiteering mechanism. The Court also noted that the National Anti-Profiteering Authority's order was justified in directing deposit of ₹5,55,126 (along with interest) to the Consumer Welfare Fund, while observing that penalty proceedings would not survive in view of subsequent legal developments. Upholding the order, the Court emphasized that the anti-profiteering provisions aim to preserve consumer welfare and prevent unjust enrichment by ensuring accountability in price transmission whenever tax benefits are extended.

Author's Comments:

This ruling reinforces the strict mandate under Section 171 of the CGST Act that the benefit of any tax-rate reduction must be passed on only through a commensurate reduction in price, and not through increased quantity, promotional offers, or marketing schemes. The Delhi High Court has once again affirmed—following Reckitt Benckiser India Pvt. Ltd.—that any indirect method of price adjustment cannot substitute the statutory requirement of actual price reduction. The legislative intent is unambiguous: the consumer must see the reduced price at the retail level.

From a GST 2.0 perspective, this judgment assumes great significance. Several FMCG and consumer-product companies have resorted to "shrinkflation reversal" (increasing quantity) or bundled freebies instead of reducing MRP after recent GST rate cuts. This practice will now be tested more rigorously, as this decision makes it clear that such adjustments do not discharge the obligation under Section 171.

Further, although Section 171 now carries a sunset clause and the Anti-Profiteering Authority has been dissolved, the notion that anti-profiteering provisions have become a "toothless tiger" is misplaced. Revenue retains broad powers under Section 76 to demand and recover any amount collected in excess of the actual tax liability, independent of anti-profiteering proceedings. Thus, unjust enrichment through retention of tax benefits remains legally challengeable even post-sunset.

In the author's considered view, this decision strengthens the compliance burden on distributors and retailers, clarifies that mathematical transmission of rate reduction is mandatory, and signals that artificial mechanisms to maintain price levels will not withstand judicial scrutiny.



Whether an assessment order under GST can be sustained when the summary of order (DRC-07) is unsigned and no prior intimation under Rule 142(1A) of the CGST Rules, 2017 is issued?

No, the Hon'ble Andhra Pradesh High Court in *M/s Abrars Today Fashion Mall v. Assistant Commissioner, Tirupati & Others* [W.P. No. 7797 of 2025, decided on 26.09.2025 | 2025 (10) TMI 109 – ANDHRA PRADESH HIGH COURT] held that an assessment order passed without the officer's signature on the summary order (Form DRC-07) and without issuing a prior intimation under Rule 142(1A) of the CGST Rules is invalid and unsustainable in law. The petitioner, a registered dealer, challenged the adjudication order dated 29.03.2023 imposing penalty under Section 122(1)(ii) of the CGST Act for the period July 2017 to December 2021, as well as the appellate order dated 10.12.2024 confirming it. The petitioner contended that (i) the DRC-07 summary order was unsigned by the assessing authority, and (ii) no notice under Rule 142(1A) was issued prior to passing the assessment. The Court noted that both these lapses go to the root of procedural compliance. Referring to its earlier rulings in *A.V. Bhanoji Row v. Assistant Commissioner (ST)* [2023 SCC Online AP 4464] and *M/s SRK Enterprises v. Assistant Commissioner (ST)* [(2024) 1 ALD 448], the Court reiterated that a signature on the assessment order is a mandatory statutory requirement, and Sections 160 and 169 of the CGST Act cannot cure such a defect. Further, relying on W.P. No. 12850 of 2022 (decided on 13.10.2023), the Court reaffirmed that issuance of a pre-assessment intimation under Rule 142(1A) is mandatory for periods prior to the October 2020 amendment and must be followed even for overlapping tax periods. Since no such notice was issued in this case, the assessment stood vitiated. Accordingly, both the adjudication and appellate orders were set aside, and the matter was remanded to the assessing authority to pass a fresh order after issuing proper notice under Rule 142(1A).

Author's Comments:

This judgment reiterates that authentication is not a technicality under GST. Rule 26(3) requires all orders and summaries to bear a valid digital signature; uploading unsigned PDFs with a mere "Sd/- Proper Officer" undermines statutory safeguards. The principle in *Nazir Ahmad v. King Emperor* (AIR 1936 PC 253) applies squarely—when the law prescribes a manner, it must be followed strictly.

The ruling also reflects a recurring pattern: courts strike down defective orders but allow the department to redo the assessment, offering taxpayers procedural relief but rarely substantive finality. Importantly, Form DRC-07 is only a statutory summary; if the underlying speaking order is properly signed, a missing signature on DRC-07 may amount to a curable defect.

On Rule 142(1A), the Court's insistence aligns with earlier AP HC rulings, but the broader context is significant. Even after the 15.10.2020 amendment changed "shall" to "may", Sections 73(5)/74(5) still mandate prior ascertainment before adjudication. DRC-01A remains the only mechanism enabling voluntary payment based on Proper officer's ascertainment and to avail benefit of reduced penalty. Its omission therefore impacts taxpayer rights and cannot always be dismissed as a minor lapse.

However, treating every absence of DRC-01A as fatal may be impractical in case of proceedings u/s 73, where no prejudice is caused. But, in case of Section 74 proceedings, it is still mandatory. In the author's view, the decision reinforces that procedural rigour and authentic communication are essential, yet frequent remands does not fetch the desired relief to taxpayers.



Whether officers of the Central GST Department can validly initiate proceedings against a taxpayer administratively assigned to the State authorities without a specific notification under Section 6 of the CGST Act, 2017?

Yes, the Hon'ble High Court of Jammu and Kashmir and Ladakh in ***R.K. Ispat Ltd. & Ors. v. Union of India & Ors.* [WP(C) No. 1074 of 2024 and batch, decided on 30.09.2025 | 2025 (10) TMI 170 – JAMMU & KASHMIR AND LADAKH HIGH COURT]** upheld the validity of proceedings initiated by the Central GST authorities, holding that officers of the Centre and State are cross-empowered by virtue of Section 6(1) of the CGST Act, 2017. The petitioners, comprising twelve companies located in the Jammu and Kashmir Integrated Textile Park, challenged show cause notices issued by the Joint Commissioner, CGST, Jammu, alleging fraudulent availment of Input Tax Credit based on paper transactions without actual supply or receipt of goods. The petitioners contended that the CGST authorities lacked jurisdiction since they were administratively assigned to the State GST authorities, and that cross-empowerment required a specific notification by the Government on the recommendation of the GST Council. They further argued that bunching of show cause notices for multiple years and issuance of notices by the Joint Commissioner for amounts below ₹1 crore were impermissible. The Court rejected these contentions, observing that Section 6(1) of the CGST Act itself authorizes cross-empowerment of officers, and issuance of a separate notification is necessary only if the Government wishes to impose conditions or restrictions. Relying on the CBIC clarification dated 22.06.2020 and the Supreme Court's ruling in *M/s Armour Security (India) Ltd. v. Commissioner, CGST Delhi East Commissionerate* [2025 (8) TMI 991 – SC], the Court held that intelligence-based enforcement actions can be initiated by either Central or State authorities, regardless of administrative allocation. The Court emphasized that cross-empowerment is inherent and automatic, ensuring a single interface for taxpayers while maintaining robust enforcement across jurisdictions. On the issue of monetary limits, it held that the circular dated 09.02.2018 is administrative in nature and does not curtail the powers of senior officers under Section 5(2). The Court dismissed the petitions, observing that the notices were based on credible intelligence inputs and that procedural challenges cannot override substantive jurisdiction conferred by statute.

Author's Comments:

This judgment provides authoritative clarity on the long-debated issue of cross-empowerment between Central and State GST administrations. The Court has aligned itself with the view taken by the Kerala High Court in *Pinnacle Vehicles & Services Pvt. Ltd. v. Joint Commissioner (Intelligence & Enforcement)* [2025 (1) TMI 838 – KERALA HC] and the Karnataka High Court in *SLM Stationery v. Union of India* [2025 (4) TMI 232 – KARNATAKA HC], holding that Section 6(1) itself effectuates cross-empowerment without need for a separate notification. This approach contrasts with the earlier view of the Madras High Court in *Tvl. Vardhan Infrastructure v. DGGSTI* [2024 (3) TMI 1216 – MADRAS HC], which insisted on a formal notification as a sine qua non. The judgment also draws strength from the Supreme Court's reasoning in *Armour Security (India) Ltd.* (Para 47 to 51 of the judgement) that intelligence-based enforcement—distinct from routine audit or scrutiny—may be initiated by either administration. In the author's considered view, this decision settles the jurisdictional controversy, confirming that both Central and State authorities are concurrently empowered to investigate and act upon intelligence-based evasion under GST.



Whether a demand order issued under Section 74 of the CGST Act, 2017 is valid if it determines tax, interest, and penalty in excess of the amount specified in the show cause notice?

No, the Hon'ble Allahabad High Court in **M/s R.T.S. Electricals and Civil India Pvt. Ltd. v. State of U.P. & Another [Writ Tax No. 1031 of 2025, decided on 06.10.2025 | 2025 (10) TMI 380 – ALLAHABAD HIGH COURT]** held that any demand order determining tax, interest, and penalty exceeding the amount specified in the show cause notice is contrary to Section 75(7) of the CGST Act, 2017, and therefore invalid. The petitioner, a registered works contractor, was issued a show cause notice dated 26.09.2023 in Form GST DRC-01 under Section 74, proposing recovery of ₹2,10,04,200 towards tax, interest, and penalty for FY 2018–19. Subsequently, the adjudicating authority passed an order dated 09.04.2024 raising demand of ₹3,04,55,800, including ₹1,05,02,000 as penalty and ₹94,51,800 as interest—far exceeding the figures mentioned in the notice. The petitioner contended that this enhancement violated Section 75(7), which mandates that the amount demanded in the final order shall not exceed the amount specified in the notice and that no demand shall be confirmed on grounds other than those specified therein. The department argued that interest and penalty are statutory consequences and can be imposed irrespective of the figures mentioned in the notice. The Hon'ble Court, however, rejected this contention, observing that Section 75(7) explicitly restricts both the quantum and grounds of demand to those set forth in the notice. It found that the adjudicating authority had raised the demand in excess of what was proposed, thereby violating the express statutory limitation. Consequently, the impugned order dated 09.04.2024 was quashed, and the matter remanded to the proper officer to issue a fresh order after affording the petitioner due opportunity to respond and be heard.

Author's Comments:

In the author's considered view, an important alternative defence was available to the petitioner but remained uninvoked: no proper show cause notice under Section 74(1) was ever issued. A mere summary in Form DRC-01 cannot substitute a statutory SCN. This continues to be a pervasive procedural error across jurisdictions, where authorities rely solely on DRC-01 (a system-generated summary under Rule 142) instead of issuing a detailed notice outlining facts, legal basis, and grounds of demand. Courts have consistently held that a summary cannot replace a speaking SCN; proceedings founded solely on DRC-01 are jurisdictionally defective.

Further, while the department argued that interest and penalty are "statutory consequences," the CGST Act draws a clear distinction. Interest may still be recoverable even if not quantified in the SCN, by virtue of Sections 75(9) and 75(12). However, penalty must be specifically proposed. The statute does not cure failure to propose penalty in the SCN. Therefore, imposition of penalty for the first time in the final order clearly violates Section 75(7) and principles of natural justice.

This judgment reinforces a recurring theme in GST adjudication: the scope of the final order is confined to the scope of the SCN. Any demand exceeding the quantum or grounds in the SCN is not a mere irregularity but a jurisdictional overreach.



Whether ITC can be blocked under Rule 86A of the CGST Rules when the Electronic Credit Ledger reflects a nil balance at the time of invoking the rule?

No, the Hon'ble Bombay High Court in **Rawman Metal & Alloys v. The Deputy Commissioner of State Tax, Thane [Writ Petition (L) No. 10928 of 2025 decided on 07.10.2025 | 2025 (10) TMI 489 – BOMBAY HIGH COURT]** held that invocation of Rule 86-A of the CGST Rules, 2017 to block ITC is ultra vires when no credit balance is available in the Electronic Credit Ledger at the time of passing the blocking order. The petitioner challenged the blocking of ITC amounting to ₹12,84,273/- by the department through an order dated 09.12.2024 under Rule 86-A, even though the ECL reflected a nil balance. The petitioner argued that the exercise of power was without jurisdiction, relying on *Samay Alloys India Pvt. Ltd. v. State of Gujarat* [2022 (2) TMI 843 – GUJARAT HC], *Laxmi Fine Chem v. Assistant Commissioner* [2024 (5) TMI 509 – TELANGANA HC], and *Best Crop Science Pvt. Ltd. v. Principal Commissioner, CGST* [2024 (9) TMI 1543 – DELHI HC], where it was consistently held that blocking of ITC cannot extend to non-existent or future credits. The department contended that the blocking power extended to the entire fraudulently availed ITC, even if the same had already been utilized, to prevent misuse. The Court, after analyzing Rule 86-A, held that the power can be exercised only when "credit of input tax available in the Electronic Credit Ledger" exists, and that a literal interpretation must prevail since the provision is unambiguous. The Court rejected the Revenue's plea of adopting a purposive interpretation to prevent misuse, noting that taxation statutes must be construed strictly and that legislative intent cannot override clear language. Following the reasoning of the Gujarat and Delhi High Courts, and noting that the Supreme Court had declined to interfere with such interpretation in *Commissioner of CGST v. Karuna Rajendra Ringshia* [SLP (C) Diary No. 21136/2025, order dated 09.07.2025], the Court quashed the blocking order as being without jurisdiction. It directed the authorities to restore the blocked ITC within 15 days, clarifying that Rule 86-A permits blocking only to the extent of credit actually available in the ledger at the time of the order and not future or hypothetical credits.

Author's Comments:

Rule 86A is drafted in clear, unambiguous terms. It allows the proper officer to restrict "the use of the amount available in the Electronic Credit Ledger" when he has reason to believe that "such credit" has been fraudulently availed or is ineligible. The wording itself establishes two jurisdictional prerequisites:

1. A positive ITC balance must exist in the ledger on the date of the blocking order, and
2. The officer must form a reasoned belief regarding the eligibility of that very available credit.

If no credit exists in the ledger, there is nothing to "block," and the exercise of power becomes an empty formality without statutory foundation. As the Bombay, Gujarat, Telangana and Delhi High Courts have consistently held, the Rule regulates the use of existing credit, not hypothetical future credit. Even the heading— "conditions of use of amount available in the Electronic Credit Ledger"—supports this interpretation, and courts have long accepted that headings and marginal notes may clarify legislative intent when the text is otherwise clear (*Uttamdas Chela Sunder Das* (1996) 5 SCC 71), *Bhinka* (AIR 1959 (SC) 906)).

The revenue's reliance on purposive interpretation is misplaced because fiscal statutes must be construed strictly; intention cannot override plain wording. Where the Rule intends to cover past or utilised credit, it says so expressly. Rule 86A, by contrast, is deliberately narrow in scope and temporary in impact.

That said, the issue is not free from judicial divergence. The Calcutta High Court in *Basanta Kumar Shaw* declined to follow *Samay Alloys*, taking the view that Rule 86A does not mandate a positive balance and that "fraudulently availed ITC" represents a substantive entitlement, not merely a ledger figure. While this reasoning expands the reach of Rule 86A, it risks transforming the provision into a punitive tool, contrary to its limited, precautionary function.

In the author's considered view, the Bombay High Court's approach is more consistent with the statutory architecture. Rule 86A is not a recovery mechanism; it is a temporary, preventive restriction on the use of existing credit. Stretching it to cover exhausted or non-existent credit would convert it into a quasi-attachment provision—an outcome the rule neither contemplates nor structurally supports. Until the Supreme Court settles the conflict, taxpayers can validly challenge any attempt to invoke Rule 86A where the ledger shows a nil balance.

Whether recovery of GST dues from the Electronic Credit Ledger under Section 79(1)(a) is valid once the time-limit for filing an appeal has expired?

Yes, the Hon'ble Chhattisgarh High Court in **Shivam Metallurgicals Pvt. Ltd. & Mr. Virendra Kumar Agrawal v. Assistant Commissioner, Circle-9, Division-II, SGST, Raipur & Others [WPT No. 139 of 2025, decided on 06.10.2025 | 2025 (10) TMI 487 – CHHATTISGARH HIGH COURT]** upheld recovery made by the department from the petitioner's Electronic Credit Ledger under Section 79(1)(a) of the CGST Act, 2017, holding that such recovery is valid when no stay has been granted against the adjudication order. The petitioner challenged recovery of ₹2,87,914/- made from his ECL pursuant to an assessment order dated 25.02.2025, by which a demand of ₹10,32,672/- was raised. The petitioner argued that recovery from the ECL before the expiry of the 30-day period allowed for payment and before filing an appeal was arbitrary, unauthorized, and violative of natural justice. It was submitted that recovery from the ECL, which represents a taxpayer's credit balance, cannot be treated as "money owing" to the taxpayer within the meaning of Section 79(1)(a). The department contended that as the petitioner failed to pay the demand within the stipulated 30 days, it was empowered to recover the dues from any amount "under the control of the proper officer," which included the petitioner's ECL. The Court, after examining Section 79(1)(a), held that the provision authorizes deduction of tax dues from "any money owing" to the taxable person that lies within the control of the proper officer, which includes balances in the Electronic Credit Ledger. It observed that since the petitioner neither paid the amount within the time allowed under the assessment order nor obtained a stay upon filing a rectification application or subsequent appeal, the recovery could not be faulted. The Court noted that recovery was made on 19.06.2025—prior to filing of the appeal on 14.08.2025—and thus found no illegality or perversity in the department's action. The writ petition was accordingly dismissed at the admission stage, with no order as to costs.

Author's Comments:

This ruling reinforces the statutory design that recovery under Section 79(1)(a) can validly commence once the three-month period for payment under Section 78 expires, unless a stay is obtained. While the Act allows an additional condonable period for appeal, that extension is not a matter of right and does not defer recovery unless the appellate forum grants protection. Thus, mere availability of an extended appeal window does not prevent the department from invoking Section 79 upon expiry of the initial three months.

Crucially, Section 78 also contains a revenue-protection proviso empowering the Proper Officer to initiate recovery even before the expiry of three months, provided reasons are recorded in writing. Such pre-mature recovery must be justified through a speaking note, demonstrating why early action is required "in the interest of revenue."

The case also clarifies a common misconception: limitation for appeal does not restart merely because a rectification application is filed. If rectification is allowed and a DRC-08 is issued, limitation runs from that date; otherwise, it continues from the original order. Taxpayers must therefore exercise diligence—delays in filing appeal, even if a rectification application is pending, expose them to immediate recovery action.



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Whether limitation under Section 107(4) of the GST Act, 2017 for filing an appeal is to be computed from the date of passing of the order or from the date of its communication to the taxpayer?

No, the limitation does not commence from the date of passing of the order. The Hon'ble Gujarat High Court in **M/s Keva Fragrances Pvt. Ltd. & Anr. v. State of Gujarat & Ors. [R/Special Civil Application No. 11799 of 2025, decided on 03.10.2025 / 2025 (10) TMI 1176 – GUJARAT HIGH COURT]** held that the period of limitation for filing an appeal under Section 107(4) of the CGST Act, 2017 begins only from the date on which the order is effectively communicated to the assessee, and not from the date the order is passed. The petitioners had challenged the order dated 12.06.2025 of the Appellate Authority, which dismissed their appeal as time-barred. The adjudicating authority had passed a rectification order on 01.08.2024 under Section 161 of the Act, but it was communicated to the petitioners only on 13.11.2024. The petitioners filed their appeal on 08.01.2025, which was rejected as beyond the prescribed limitation of three months plus one month of condonable delay. The Court held that the statutory right of appeal can be exercised only after the order is communicated, as the taxpayer cannot be expected to appeal against an order of which it has no knowledge. The Court observed that there was no proof of earlier service of the rectification order, and thus, the appeal filed on 08.01.2025 was within time when computed from 13.11.2024, the date of communication. Accordingly, the impugned appellate order dated 12.06.2025 was quashed, and the matter was remanded to the Appellate Authority to decide the appeal on merits after granting due opportunity of hearing.

Author's Comments:

This decision reinforces the principle that limitation under Section 107 begins only from the date of actual communication of the order, not the date on which the order is passed or mechanically uploaded on the GST portal. Both the Gujarat High Court and the Madras High Court in *Sharp Tanks and Structural Pvt. Ltd. [2025 (9) TMI 1149 – Madras HC]* have emphasised that the legislature uses the term “communicated” in Section 107(1) – a deliberate choice distinct from the term “served” in Section 169. “Communication,” as explained in P. Ramanatha Aiyar’s *Advanced Law Lexicon*, requires imparting information in a manner that ensures the assessee becomes aware of it. Mere portal upload without actual or constructive knowledge cannot trigger limitation.

However, in the author’s considered view, an important nuance was overlooked by both parties. While limitation begins from communication of the order, when a rectification application under Section 161 is rejected and no DRC-08 (order of rectification) is issued, the original order remains intact. In such cases, the limitation for appeal should run from the date of the original order, not from the date of disposal of the rectification application. Section 161 cannot be used as a tool to artificially extend appeal limitation; rectification is meant to correct “errors apparent on the face of the record,” not to reset statutory timelines.

Had the departmental counsel highlighted this statutory position – that the rectification order did not modify the original order and therefore did not restart limitation – the outcome of the case could potentially have been different. The core principle remains: communication must be real and effective, but Section 161 cannot be misused to enlarge limitation or alter the appeal clock unless a fresh, modified order is actually passed.



Whether a taxpayer is entitled to obtain copies of data and documents seized during search under Section 67 of the CGST Act, 2017?

Yes, the Hon'ble Delhi High Court in **M/s Balaji Enterprises v. Principal Commissioner, DGGI, Meerut Zonal Unit & Ors. [W.P. (C) 15237 of 2025 decided on 06.10.2025 | 2025 (10) TMI 594 – DELHI HIGH COURT]** held that a taxpayer is entitled to copies of all data and documents seized during search proceedings under Section 67(2) of the CGST Act, 2017, unless furnishing such copies would prejudicially affect the ongoing investigation, which must be recorded in writing by the department. The petitioner, a proprietary concern, sought return of electronic devices, records, and documents seized on 01.07.2025 from its office premises at Pitampura, Delhi. The seized items included laptops, mobile phones, pen drives, hard drives, and 113 company stamps. The petitioner argued that the department had already cloned and extracted all data from the devices and therefore was duty-bound either to return the seized articles or to furnish copies of the digital data. The department contended that the petitioner was not cooperating with the investigation and that providing copies could prejudice the ongoing probe. The Hon'ble Court examined Sections 67(3), 67(4), and 67(5) of the CGST Act, noting that while the department is empowered to seize and clone electronic devices, it must return documents not relied upon within 30 days of issuing the notice and allow the taxpayer to make copies unless written reasons exist to show potential prejudice to the investigation. Referring to the panchnama, the Court observed that the department had completed cloning and data extraction, establishing that copies of the data were available. Accordingly, the Court directed the proprietor of the petitioner-firm to appear before the GST authorities, where in the presence of an authorised officer, copies of all seized data and documents were to be furnished. The Court clarified that such entitlement cannot be denied absent a recorded finding of prejudice under Section 67(5). The petition was disposed of with directions for compliance and a reminder that the petitioner must cooperate fully in the investigation.

Author's Comments:

The purpose of seizure under Section 67(2) is to secure evidence, not to deprive the taxpayer of access to its own records. The scheme of Section 67(3)–(5), read with Form INS-02, makes this clear: the authorised officer may seize goods, documents, and devices, but there is no statutory requirement to physically remove them from the premises. Even when taken into custody, seizure is only to identify, preserve, and secure material relevant to the formation of “reasons to believe” and the proposed demands. It does not create a right in the department to indefinitely withhold access to such material.

Section 67(5) grants a positive statutory right to the taxpayer to inspect and make copies of seized documents, unless furnishing such copies would prejudicially affect the investigation, and even this exception requires written, case-specific reasons. The department cannot rely on broad or generic assertions such as “investigation ongoing” to deny access.

Equally important is the principle that the interests of revenue are limited to protecting recovery of tax, interest, and penalty. Where the taxpayer is willing to cooperate, secure revenue interests, or provide undertakings, the seized material may be returned provisionally or finally. Preventing access—particularly after cloning of electronic data has been completed—serves no legitimate purpose and only hinders business operations.



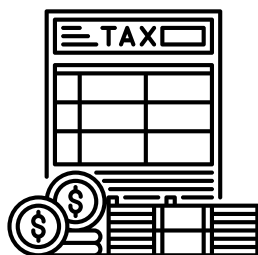
Whether proceedings u/s 74 of the GST Act, 2017 can be initiated by the Central Authority when the State Authority has already initiated and concluded proceedings on the same subject matter?

No, the Hon'ble Orissa High Court in ***M/s Tansam Engineering and Construction Company v. Commissioner, CGST and Central Excise, Rourkela Commissionerate & Ors. [W.P. (C) No. 15935 of 2025, decided on 14.10.2025 | 2025 (10) TMI 1116 – ORISSA HIGH COURT]*** held that initiation of proceedings under Section 74 of the CGST Act by the Central Authority is without jurisdiction when proceedings on the same issue and tax periods have already been initiated and concluded by the State Authority. The petitioner, a registered works contractor, was subjected to adjudication by the State Tax Authority based on intelligence inputs alleging wrongful availment of Input Tax Credit (ITC) on invoices from two non-existent suppliers, M/s M.G. International and M/s M.S. Traders, for the tax periods from July 2017 to March 2019. The State Authority issued show cause notices dated 02.07.2021 and 30.07.2021 and subsequently passed orders-in-original determining tax, interest, and penalty, which were confirmed on appeal. Despite being aware of the State proceedings, the Central Authority—through the Deputy Director, DGGI, Rourkela Regional Unit—issued another show cause notice dated 13.08.2021 for the same period and on identical grounds, culminating in an Order-in-Original dated 30.01.2025 under Section 74. The petitioner challenged the jurisdiction of the Central Proper Officer citing Section 6(2)(b) of the CGST Act, which bars initiation of proceedings by one authority once the other has already commenced action on the same subject matter. The department contended that prior summons issued by DGGI under Section 70 constituted initiation of proceedings by the Central Authority. The Court rejected this contention, holding that issuance of summons is only an investigative step and not “initiation of proceedings” under Section 6(2)(b). Relying upon the Supreme Court’s ruling in *Armour Security (India) Ltd. v. Commissioner, CGST, Delhi East Commissionerate [2025 (8) TMI 991 – SC]*, the Court clarified that formal proceedings commence only with the issuance of a show cause notice. Since the State Authority had already issued show cause notices and completed adjudication, the subsequent Central proceedings were held to be barred under Section 6(2)(b). Consequently, the show cause notice dated 13.08.2021 and Order-in-Original dated 30.01.2025 were quashed as being without jurisdiction.

Author’s Comments:

This decision strengthens the statutory principle of jurisdictional exclusivity embodied in Section 6(2)(b) of the GST Act, which prevents multiple authorities from initiating adjudication on the same subject matter for the same tax period. The Orissa High Court correctly applied the Supreme Court’s ruling in *Armour Security (India) Ltd.*, which clarified that only a show cause notice constitutes initiation of “proceedings” under Section 6(2)(b), whereas summons or enquiry steps under Section 70 or 67 remain merely investigative. Once the State GST authority had already issued SCNs and concluded adjudication on the alleged bogus ITC transactions, any subsequent action by the Central authority on the same issue (same ITC) was jurisdictionally barred.

Importantly, Section 6(2)(b) does not impose a blanket bar on all central and state actions for the same period. The restriction is issue-specific. Parallel proceedings may still be valid where the subject matters differ—such as classification in one proceeding and valuation or ITC eligibility in another. What the statute prohibits is overlapping adjudication on the same cause of action, which would otherwise expose taxpayers to duplicative demands and conflicting outcomes, amounting to a form of fiscal double jeopardy.



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Whether the provisions empowering arrest under Sections 69 and 132 of the GST Acts, 2017 are unconstitutional for being arbitrary, unreasonable, or beyond legislative competence?

No, the Hon'ble Punjab and Haryana High Court in **Stalwart Alloys Pvt. Ltd. v. Union of India and Others [CWP No. 13995 of 2020 (O&M), decided on 08.09.2025 | 2025 (10) TMI 55 – PUNJAB & HARYANA HIGH COURT]** upheld the constitutional validity of Sections 69 and 132 of the Haryana Goods and Services Tax Act, 2017, which are pari materia to the corresponding provisions of the CGST Act. The Court, relying on the landmark judgment of the Hon'ble Supreme Court in Radhika Agarwal v. Union of India [2025 (2) TMI 1162 – SC (LB)], reaffirmed that the Parliament and the State Legislatures possess the legislative competence under Article 246A of the Constitution to enact provisions relating to levy, collection, and enforcement of GST, including the ancillary powers of arrest, prosecution, and penalty. The Supreme Court had categorically held that Article 246A is a comprehensive provision conferring plenary legislative power to frame laws "with respect to goods and services tax," which necessarily includes measures to curb tax evasion. It was further clarified that the power to arrest must be exercised only upon recording "reasons to believe," supported by material demonstrating commission of non-bailable offences under clauses (a) to (d) of Section 132(1) and satisfaction of conditions under sub-section (5). The Commissioner's belief must be based on credible evidence rather than mere suspicion, and failure to comply with these safeguards would render an arrest illegal. The High Court observed that the petitioner's challenge to the vires of Sections 69 and 132 no longer survived in view of the binding precedent of the Supreme Court. Consequently, the writ petition was dismissed, affirming that the power to arrest under GST is constitutionally valid but must be exercised judiciously and only in accordance with the procedural requirements prescribed by law.

Author's Comments:

This decision reiterates the settled legal position following Radhika Agarwal v. UOI that the powers of arrest and prosecution under the GST regime are constitutionally sound, being ancillary to the legislature's authority to ensure effective tax collection and prevent evasion. While upholding the legislative competence, the Supreme Court has simultaneously imposed procedural discipline by mandating that "reasons to believe" must be objectively recorded with reference to concrete material before an arrest is authorized. The jurisprudence draws from earlier constitutional principles in R.S. Joshi v. Ajit Mills [(1977) 4 SCC 98] and Mineral Area Development Authority v. SAIL [(2024) 10 SCC 1], which recognize that ancillary powers, including enforcement and penalties, are integral to taxation statutes. In the author's considered view, this ruling strikes an appropriate balance between safeguarding individual liberty and preserving the efficacy of the GST enforcement framework. The emphasis now lies not on curtailing the power itself but on ensuring that its exercise conforms to due process, transparency, and accountability.



Whether compensation cess can be levied on the MRP of goods through delegated legislation when the CGST Act mandates valuation based only on transaction value under Section 15?

No, the Hon'ble Karnataka High Court in *M/s VKG Packers, Ghodawat Packer LLP, M/s V.K. Packers v. Union of India & Ors. [W.P. No. 100239 of 2024 (T-RES) c/w W.P. Nos. 106955/2023 & 108091/2024, decided on 19.09.2025 | 2025 (11) TMI 425 – KARNATAKA HIGH COURT]* held that compensation cess cannot be levied on the Maximum Retail Price (MRP) of goods through notifications when the parent statute—Section 8(2) of the Compensation to States Act, 2017 read with Section 15 of the CGST Act—mandates that cess must be calculated on the transaction value. The petitioners challenged notifications dated 31.03.2023 and 26.07.2023 that required cess to be computed on MRP rather than the transaction value declared on the tax invoice. The Court observed that Section 15(1) of the CGST Act clearly defines transaction value as the sole basis for valuation unless otherwise expressly provided by law. The Compensation Act incorporates the same valuation mechanism and does not empower the Government to modify the statutory basis of valuation through delegated legislation. The Bench held that any notification seeking to levy tax or cess on a value other than transaction value, without explicit authority in the parent statute, is ultra vires and void. It further held that delegated legislation cannot override or expand the scope of the parent Act and that valuation cannot be shifted from transaction value to MRP in the absence of a legislative amendment. Accordingly, the Court quashed the impugned notifications while clarifying that the decision does not restrict the competent legislature from amending the statutory scheme in future.

Author's Comments:

This judgment reinforces a well-settled constitutional principle — delegated legislation cannot enlarge, modify, or override the mandate of the parent statute, especially in matters of valuation and levy of tax or cess. Section 15 of the CGST Act prescribes transaction value as the sole basis for valuation unless Parliament expressly provides otherwise. The Compensation to States Act adopts the same mechanism through Section 8(2). In the absence of any statutory amendment permitting levy on MRP, notifications attempting to shift valuation from transaction value to MRP are ultra vires.

The Supreme Court in *Rajasthan Chemists Association* (2006) 6 SCC 773 squarely held that a tax cannot be imposed on a notional value in the absence of legislative authority. The Court struck down a similar attempt by the Revenue to adopt MRP as the measure of tax, holding it unconstitutional and beyond the scope of the taxing entry. The same reasoning applies here—cess on MRP, without express statutory backing, is beyond the permissible limits of delegated legislation.

Equally relevant is the principle laid down in *General Officer Commanding-in-Chief v. Subhash Chandra Yadav* (1988) 2 SCC 351, where the Supreme Court held that for a rule or notification to have the force of law, two conditions must be satisfied:

1. It must conform to the parent statute, and
2. It must fall within the limits of the delegated rule-making power.

Failure of either condition renders the delegated legislation void.

The impugned notifications failed on both counts—they altered the statutory basis of valuation and exceeded the authority conferred by the Compensation Act and Section 15 of the CGST Act. In the author's considered view, the Karnataka High Court's decision correctly restores the primacy of Parliament in designing the valuation mechanism and prevents executive overreach through delegated instruments.



Whether enhanced tax liability under Section 74 and consequent penalties under Sections 130(3) and 122 can be sustained when there is no specific finding of fraud, suppression, or intent to evade tax?

No, the Hon'ble Allahabad High Court in *M/s S.A. Iron & Alloys Pvt. Ltd. v. State of U.P. & Ors.* [Writ Tax No. 735 of 2023, decided on 06.11.2025 | 2025 (11) TMI 491 – ALLAHABAD HIGH COURT] held that enhanced liability imposed under Section 74 of the UPGST Act and penalties under Sections 130(3) and 122 cannot be sustained in the absence of any recorded finding establishing fraud, willful misstatement, suppression of facts, or intent to evade tax. The petitioner challenged the appellate order insofar as it upheld enhanced tax and penalty based on alleged excess stock and suppressed production. The Court observed that the authorities invoked Section 74 mechanically, without recording any conclusion that the petitioner had acted with fraudulent intent or suppressed material facts, which are mandatory preconditions for invoking Section 74. Without such findings, the department could not impose confiscation-related liability under Section 130(3) or penalty under Section 122, both of which are consequential to a valid Section 74 determination. The Court found that unexplained stock variations or estimations of production, without cogent evidence or proper quantification, do not automatically lead to the ingredients of Section 74. Accordingly, the High Court set aside the appellate order to the extent it refused full relief, scaled down the tax liability, and quashed the enhanced penalty and confiscation-based consequences. The petition was thus allowed.

Author's Comments:

The allegations in this case—(i) excess stock and (ii) suppressed production—do not, by themselves, furnish a valid jurisdictional foundation for invoking Section 74. Section 74 is attracted only when tax has been “not paid,” “short paid,” “erroneously refunded,” or ITC has been “wrongly availed or utilized” by reason of fraud, suppression, or willful misstatement. Excess stock does not amount to supply, nor does it automatically lead to ITC reversal or erroneous refund. Thus, no cause of action under Section 74 arises merely from physical stock variation.

As regards suppressed production, the department's case implicitly rests on the theory of suppressed supply. However, before alleging a taxable supply, the law mandates compliance with Section 35(6), which alone authorizes estimation of unrecorded turnover. Without an SCN that invokes Section 35(6) and satisfies the definition of “supply,” the very foundation for imposing tax under Section 9 collapses. The Supreme Court in *Govind Saran Ganga Saran v. CST & Ors.* (AIR 1985 SC 1041) has made it unequivocally clear that the charging ingredients—taxable event, person liable, rate and measure or value—must be expressly present in the SCN. If the SCN does not articulate the taxable event or supply, any consequential demand is without jurisdiction.

In the author's view, this case illustrates a critical strategic point: the first line of defence should always be to test whether the SCN discloses the statutory cause of action at all. If the SCN does not bring the facts within the charging provisions (Sections 9, 35(6), 74), then elaborating factual rebuttals becomes secondary.



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Mr. Ritesh Arora is a distinguished Chartered Accountant with over 12 years of focused expertise in Indirect Taxation, with a special emphasis on GST litigation, advisory, and appellate matters. A Fellow Member of the ICAI, he qualified in 2013 and has since emerged as a trusted name in the field of GST, known for his deep legal insight and strategic approach to complex tax disputes.

His core areas of practice include appellate proceedings, departmental audits, inspection and search cases, and legal strategy formulation under the GST regime. His strong command over GST jurisprudence and nuanced understanding of procedural intricacies make him a sought-after consultant for challenging matters.

Professional Credentials:

- Author of 'GST Gavel – A Litigation Guide'
- Specialist in GST litigation and advisory services
- Special Invitee Member of Indirect Taxes Committee of NIRC of ICAI 2025-26
- Vice Chairman of ICAI Amritsar Branch (2024-25)
- NICASA Chairman of ICAI Amritsar (2024-25)
- Previous Treasurer of ICAI Amritsar (2022-23, 2023-24)
- Speaker and contributor to professional development in taxation and finance

Beyond his professional accomplishments, CA Ritesh Arora is also a former National Silver Medalist and Punjab Gold Medalist in Judo at CBSE National Tournaments—an early testament to his discipline and competitive spirit. With a unique blend of subject-matter expertise, courtroom experience, and a passion for simplifying complex tax laws, CA Ritesh Arora continues to make a meaningful impact as a practitioner, author, speaker, and mentor in India's evolving GST landscape

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Ritesh Arora & Associates is a multidisciplinary Chartered Accountancy firm with a specialized focus on GST litigation & indirect taxation and a comprehensive portfolio of accounting & book-keeping, audit, tax, advisory, outsourcing, and CFO services. Founded with the vision of delivering practical, legally sound, and business-focused solutions, we empower businesses, startups, and individuals to stay compliant, resolve disputes, and make confident financial decisions.

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